

2. Stewart's lenders or bankers could look at the company's solid cash flow and predictable business model and extend the loan maturities or refinance the debt—especially if the company offered to pay a higher interest rate (e.g., 200 basis points higher than present).

Odds I ascribed to this scenario playing out 35 percent

Equity value in 24 months if this scenario played out >\$4 per share

3. Stewart could look for another lender. With the robust cash flows, it was likely to find many takers—especially if it offered 100 or 200 basis points more than it was presently being charged.

Odds I ascribed to this scenario playing out 20 percent

Equity value in 24 months if this scenario played out >\$4 per share

4. Stewart goes into bankruptcy. In a bankruptcy reorganization like Stewart, the judge would order that some of the businesses be sold and cash proceeds be used to repay defaulted debt. In a distress sale, these funeral homes should still go for at least five to seven times cash flow due to competition among buyers. A few hundred businesses (at most) get sold and the company emerges clean from bankruptcy.

Odds I ascribed to this scenario playing out 19 percent

Equity value in 24 months if this scenario played out >\$2 per share